



Canada-Brazil Trade Opportunities Report

Executive review of Canada-Brazil merchandise trade performance in 2024 and 2025, covering annual trends, trade mix, product momentum, provincial concentration, and baseline outlook.

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Executive Summary

Canada–Brazil merchandise trade reached CAD\$14.5 billion in 2025, representing a 16.0% increase compared to 2024. Exports totaled CAD\$2.9 billion, while imports reached CAD\$11.6 billion, resulting in a trade balance of CAD\$-8.7 billion. Imports accounted for CAD\$11.6 billion of total volume, maintaining a trade deficit of CAD\$-8.7 billion. Trade activity remains geographically concentrated, with Ontario accounting for the largest share of total volume, while product level performance is driven by a limited number of key categories contributing most of the growth. Overall, the structure of trade indicates continued dependence on specific provinces and product segments. Based on current trends, total trade is projected to reach approximately CAD\$16.8 billion in 2026, assuming continued momentum in import activity and stable export performance.

Key Trade Indicators

Canada–Brazil trade expansion in 2025 was driven by higher import volumes, maintaining a persistent trade imbalance. Although export growth exceeded import growth in percentage terms, the absolute gap between imports and exports remained wide, resulting in a trade deficit of CAD\$-8.7 billion. Trade activity remains geographically concentrated, with Ontario accounting for the largest share of total volume. The current trajectory implies continued expansion into 2026, with total trade projected near CAD\$16.8 billion under existing conditions.

Total Trade CAD\$14.5B	Growth +16.0%	Exports CAD\$2.9B	Imports CAD\$11.6B	Balance CAD\$-8.7B	2026 Outlook CAD\$16.8B
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These indicators confirm that recent trade expansion has been accompanied by a sustained imbalance driven by higher import volumes, with the trade structure concentrated in Ontario and a limited set of product categories.

Table of Contents

Use the links below to jump directly to each report section in the PDF.

Section	Page
Executive Summary	2
Key Trade Indicators	3
List of Charts	6
Trade Expansion Summary	7
Annual Trade Overview	8
Bilateral Trade Volume Shift	9
Monthly Performance Comparative: Year-over-Year Change	10
Monthly Trade Flow	11
Comparative Trade Mix	12
Diverging Product Momentum	13
Provincial Trade Volume	14
Strategic Provincial Investment Map	15
Province Growth & Decline	16
Ontario Trade Hub Analysis	17
Ontario Trade Hub Analysis: Top Product Chapters	18
Market Intelligence & Business Opportunities	19
Fastest-Growing Sectors	20

Canadian Demand from Brazil	21
Target Industries & Five-Year Outlook	22
Forecast Validation and Baseline Outlook	23
2026 Monthly Projection Table	24
Appendix Forecast Validation Method	25
Data Source	26
Confidentiality & Disclaimer	26

List of Charts

The chart numbers and names below correspond to the captions printed under each visual throughout the report.

Chart No.	Chart Title	Report Section
Chart 2.1	Canada–Brazil trade expansion summary	Trade Expansion Summary
Chart 2.2	Canada exports and imports with Brazil, 2024–2025	Annual Trade Overview
Chart 2.3	Bilateral trade volume shift, 2024–2025	Bilateral Trade Volume Shift
Chart 2.4	Monthly trade performance: year-over-year change	Monthly Performance Comparative: Year-over-Year Change
Chart 2.5	Monthly exports and imports trade flow	Monthly Trade Flow
Chart 2.6	Comparative trade mix by exports and imports	Comparative Trade Mix
Chart 2.7	Diverging product momentum: top winner Cocoa	Diverging Product Momentum
Chart 2.8	Provincial trade volume ranking	Provincial Trade Volume
Chart 2.9	Strategic provincial investment map	Strategic Provincial Investment Map
Chart 2.10	Provincial growth and decline by trade value	Province Growth & Decline
Chart 2.11a	Ontario trade position and key metrics, 2025	Ontario Trade Hub Analysis
Chart 2.11b	Ontario top 5 product chapters by trade value, 2025	Ontario Trade Hub Analysis: Top Product Chapters
Chart 3.1	Fastest-growing sectors by year-over-year growth	Fastest-Growing Sectors
Chart 3.2	Canadian import demand from Brazil by business sector	Canadian Demand from Brazil
Chart 3.3	Target industry opportunity matrix	Target Industries & Five-Year Outlook
Chart 4.1	2026 baseline projection: monthly trade volume forecast	Forecast Validation and Baseline Outlook
Chart 4.2	2026 monthly projection table	2026 Monthly Projection Table

Trade Expansion Summary

Total Canada–Brazil trade expanded significantly in 2025, driven primarily by strong import growth. While exports also increased, imports remain structurally higher, reinforcing Canada's position as a net importer in the bilateral relationship. The expansion reflects increased demand and stronger trade flows rather than a shift in trade balance. Overall, growth indicates a larger and more active trade corridor, but with persistent imbalance driven by import dependency.

Trade Expansion Overview

While volume hit **CAD\$14.5 BI**, Canada remains a **Net Importer** with a CAD\$8.7 BI spending gap.

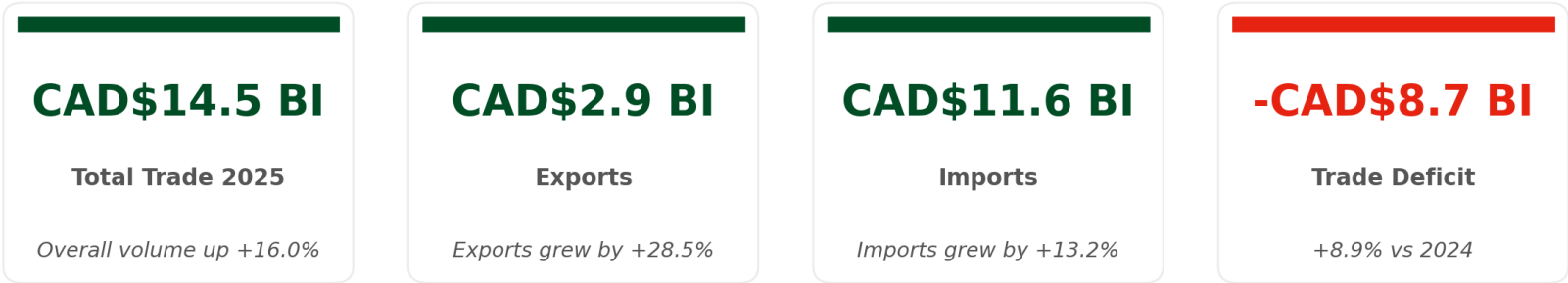


Chart 2.1: Canada–Brazil trade expansion summary

Annual Trade Overview

Canada–Brazil trade increased in 2025, with both exports and imports rising compared to 2024. Exports grew by +28.5% year-over-year, outpacing import growth of +13.2%, though imports remained significantly higher in absolute value at CAD\$11.6 billion versus CAD\$2.9 billion for exports. As a result, the overall trade relationship expanded while Canada maintained a net importer position. This indicates that growth improved total trade activity, but did not materially reduce the structural trade imbalance.

Canada's Exports and Imports with Brazil reached record levels in 2025

Total trade value grew to **CAD\$14.5 BI**, driven by a **+28.5%** increase in exports and **+13.2%** in imports.

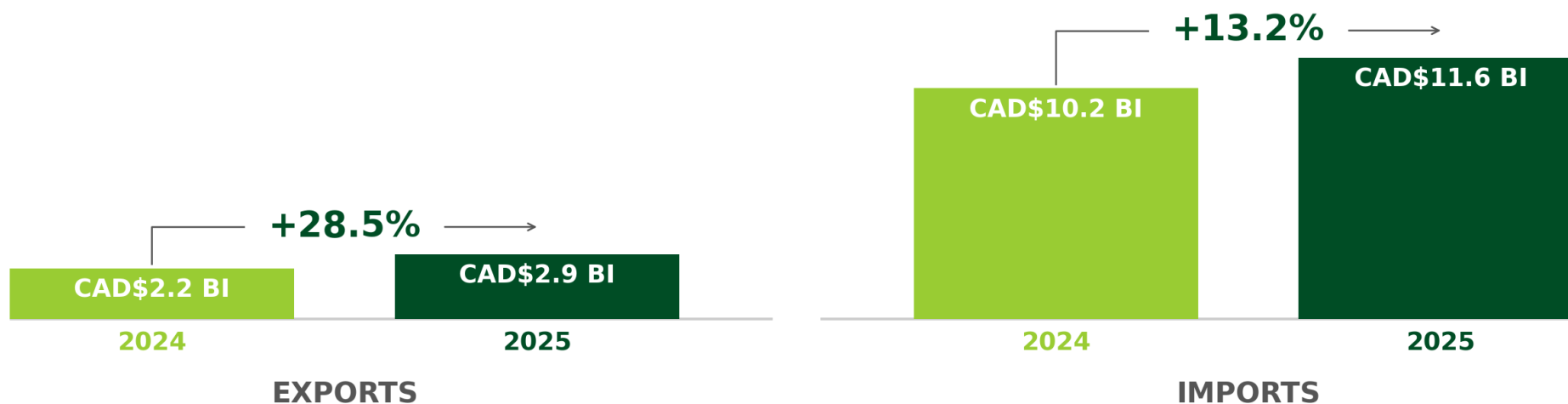


Chart 2.2: Canada exports and imports with Brazil, 2024–2025

Bilateral Trade Volume Shift

The bilateral trade corridor shifted to a higher absolute volume in 2025, indicating stronger commercial engagement between Canada and Brazil. This upward shift reflects increased economic activity and demand across traded goods. However, the expansion occurred without a structural correction in the trade balance, meaning that higher volume did not translate into improved export competitiveness. The relationship is scaling, but not rebalancing.

Bilateral trade volume has shifted to a new level, exceeding CAD\$14 BI

*Trade flows expanded by **CAD\$2.0 BI**, reflecting a year of intensified bilateral activity.*

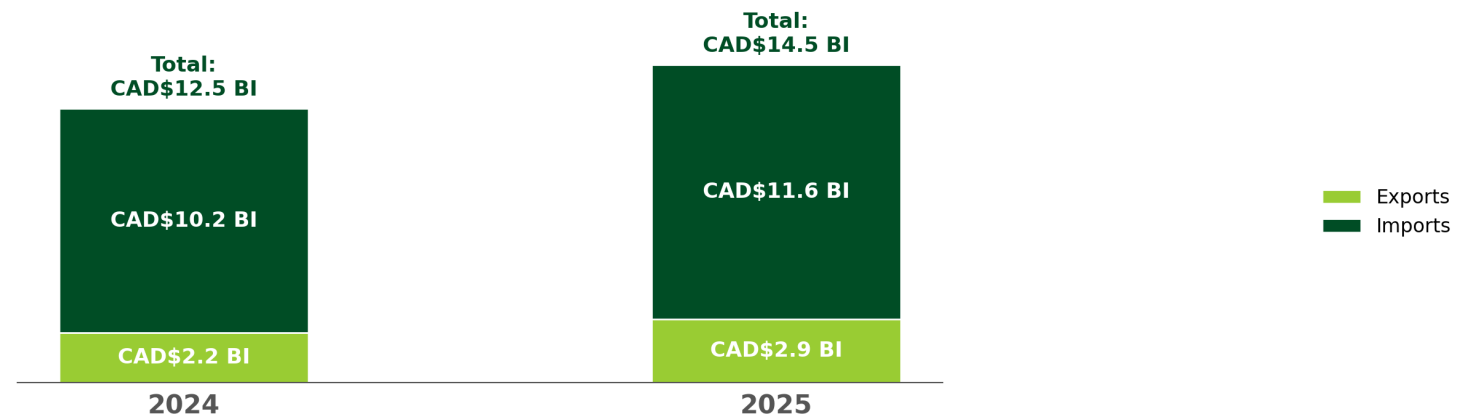


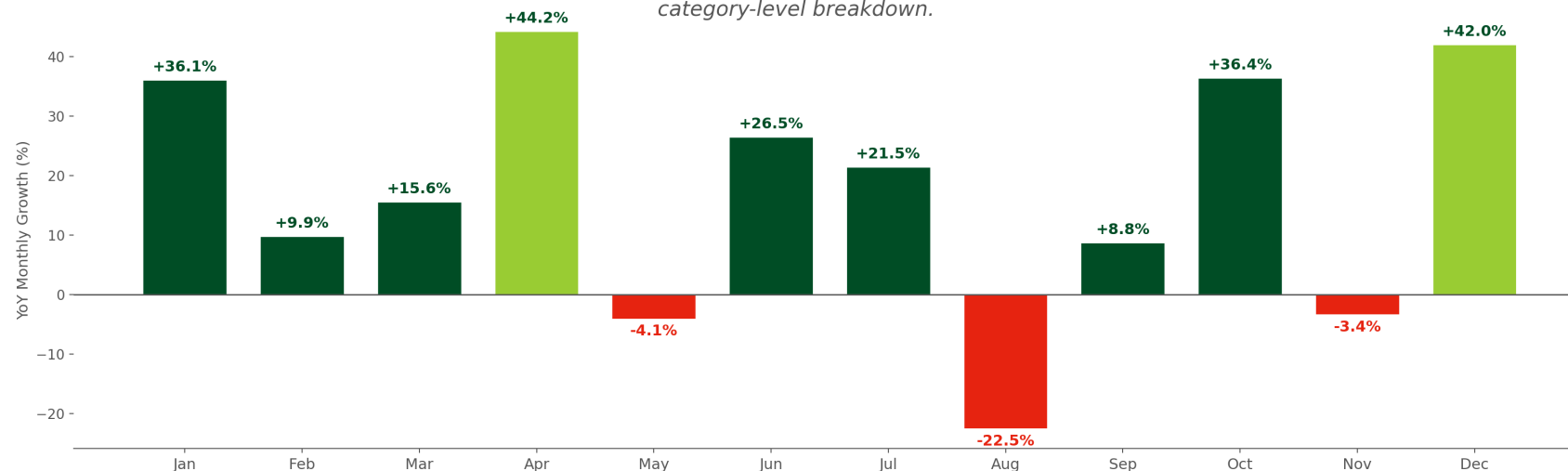
Chart 2.3: Bilateral trade volume shift, 2024–2025

Monthly Performance Comparative: Year-over-Year Change

Monthly performance shows periods of acceleration and moderation throughout the year, indicating moderate volatility in trade flows. Several months experienced stronger spikes in activity, suggesting seasonal or demand-driven surges rather than consistent linear growth. Despite fluctuations, the overall trend remains upward, with imports consistently exceeding exports. This pattern indicates that growth is present, but not evenly distributed across months.

Monthly Performance Comparative: Year-over-Year Change

Monthly trade compares 2025 against 2024. Top 2 growth and top 2 decline months highlighted with category-level breakdown.



Notable months: YoY change

Apr +44.2%

Top 3 drivers of YoY change:

- Precious Stones, Metals and Jewelry (+244M)
- Inorganic Chemicals (+135M)
- Fertilizers (+98M)

Dec +42.0%

Top 3 drivers of YoY change:

- Precious Stones, Metals and Jewelry (+279M)
- Aircraft and Spacecraft (+129M)
- Fertilizers (+44M)

Aug -22.5%

Top 3 drivers of YoY change:

- Inorganic Chemicals (-122M)
- Aircraft and Spacecraft (-116M)
- Iron and Steel (-46M)

May -4.1%

Top 3 drivers of YoY change:

- Aircraft and Spacecraft (-84M)
- Sugars and Sugar Confectionery (-78M)
- Inorganic Chemicals (-74M)

Chart 2.4: Monthly trade performance: year-over-year change

Monthly Trade Flow

Monthly trade flows highlight a persistent and structural import surplus, with imports exceeding exports in every observed period. While both series fluctuate, the gap between imports and exports remains consistently wide, suggesting that the trade deficit is not seasonal but structural. This indicates long-term dependence on imported goods from Brazil rather than temporary imbalances.

Monthly Trade Flow: Imports continue to outpace exports

The average monthly deficit was **CAD\$0.69 BI**, and the latest observed gap reached **CAD\$0.99 BI**.

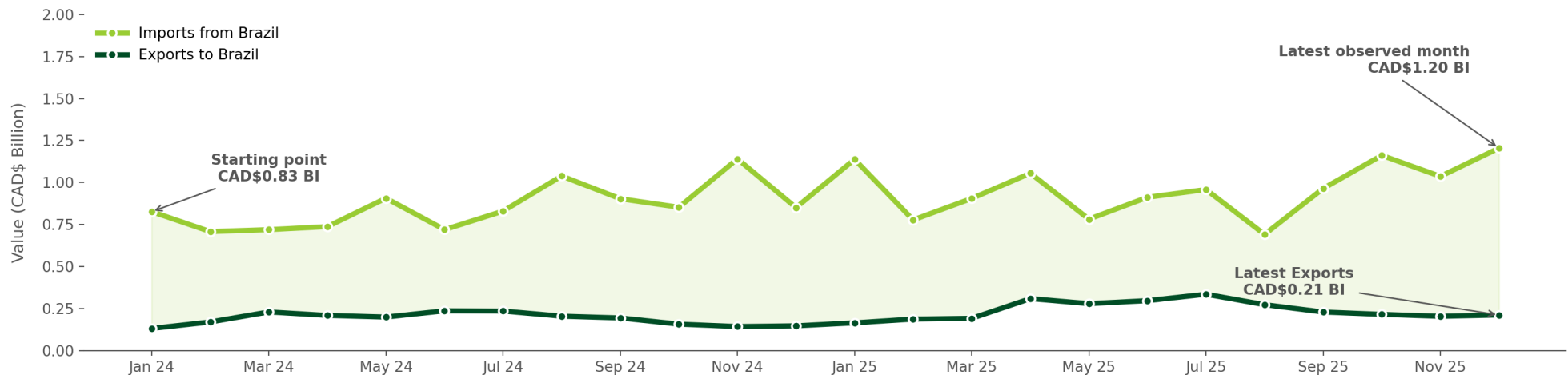


Chart 2.5: Monthly exports and imports trade flow

Comparative Trade Mix

The trade composition improved slightly in 2025, with exports gaining marginal share relative to imports. However, imports still dominate the overall mix, maintaining a significant imbalance. The improvement suggests a gradual strengthening of export performance, but not at a scale sufficient to materially shift the trade structure. The relationship remains import-heavy despite the marginal shift in composition.

Closing the gap: Canada improved its trade mix in 2025

*The import-to-export ratio improved from **4.6** to **4.0**, a **11.9%** improvement in trade balance efficiency.*

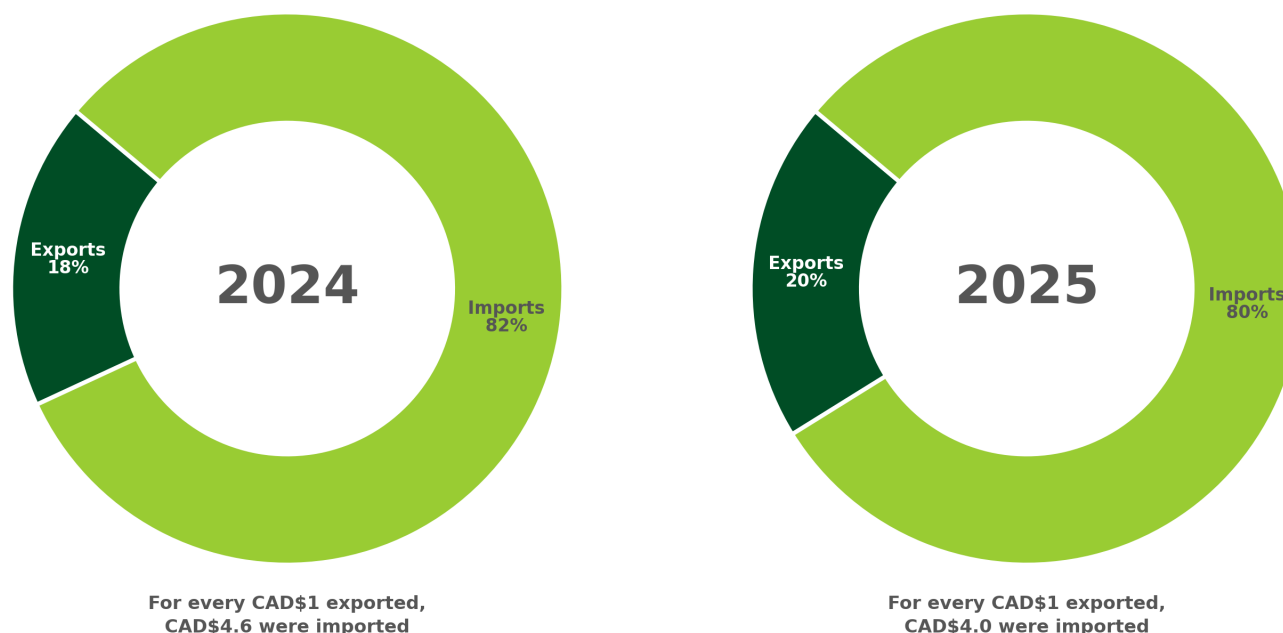


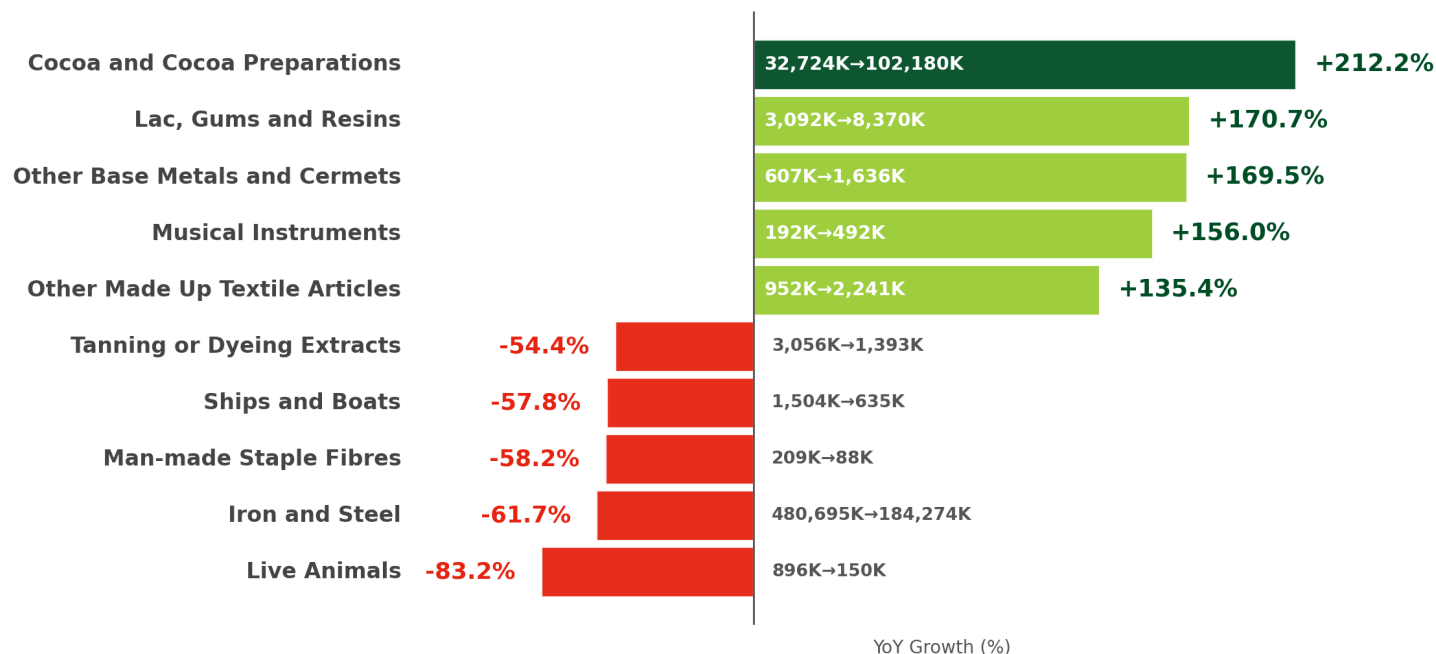
Chart 2.6: Comparative trade mix by exports and imports

Diverging Product Momentum

Product level performance reveals a divergence between high growth and declining categories. A small number of product groups are driving most of the growth, while others are contracting or stagnating. This concentration indicates that trade expansion is not broad based, but dependent on specific categories. Such concentration reduces resilience to category-level disruptions and limits the breadth of the trade portfolio.

Diverging Product Momentum: Top Winner Cocoa

Fastest growing category: **+212.2%** | weakest performer: Live Animals at **-83.2%**.



*Excludes HS Chapters 98 and 99, zero-value categories, and very small bases. Values shown in thousands (K).

Chart 2.7: Diverging product momentum: top winner Cocoa

Provincial Trade Volume

Trade activity is highly concentrated geographically, with one province accounting for a disproportionate share of total volume. This concentration highlights a dependency on a limited number of regional trade hubs. While this can create efficiency advantages, it also introduces risk by reducing diversification across provinces. The data points to geographic concentration that merits monitoring as trade volumes scale.

Ontario Dominates 2025 Trade Volume at CAD\$7.22 BI

*The province accounts for **49.9%** of total provincial trade, confirming a highly concentrated trade footprint.*

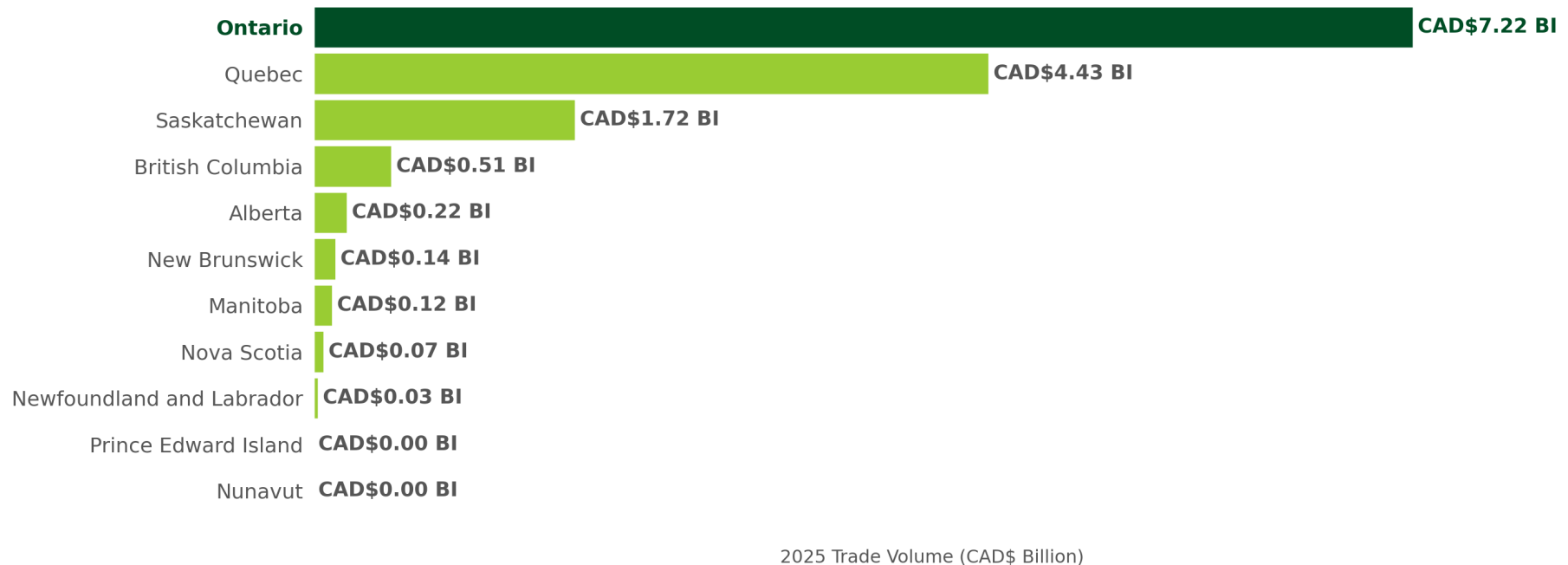


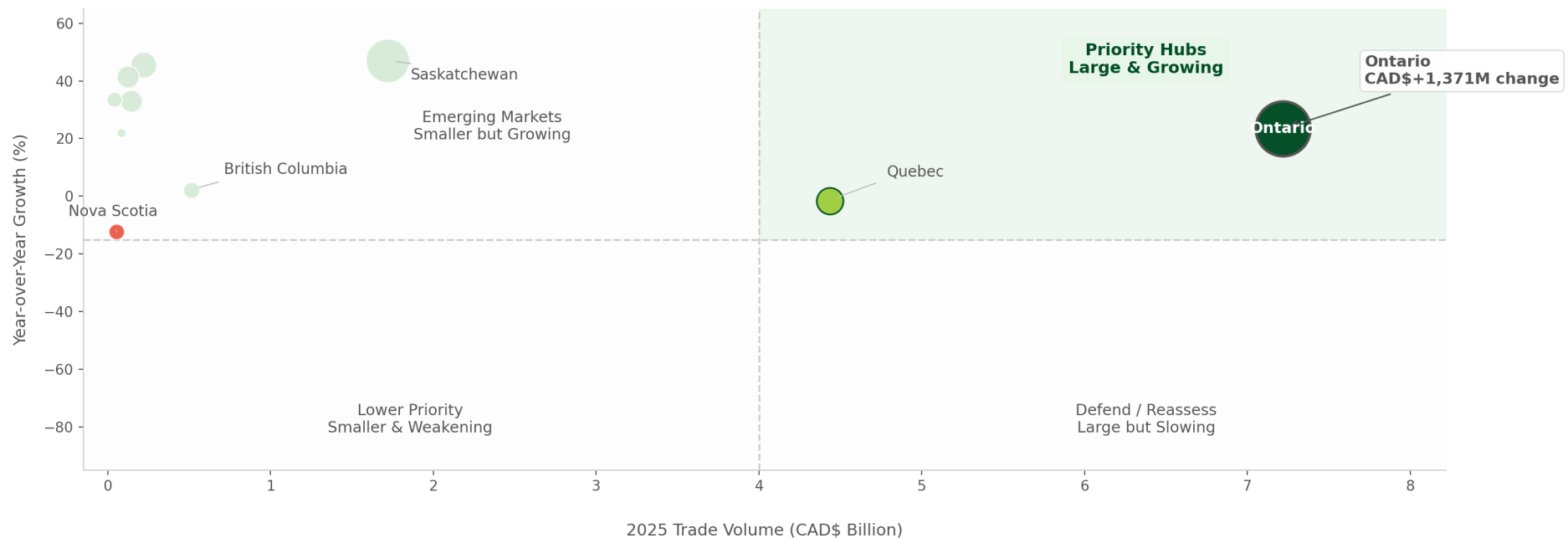
Chart 2.8: Provincial trade volume ranking

Strategic Provincial Investment Map

The strategic map identifies provinces that combine scale and growth as the most attractive investment opportunities. Regions positioned in the high volume and high growth quadrant represent the strongest near term potential for expansion. Provinces with declining growth or smaller trade volumes present lower priority or require reassessment. This framework supports targeted, data driven allocation of trade and investment efforts.

Ontario Leads the Most Attractive Provincial Trade Position in 2025

Centered quadrants separate scale and momentum, while bubble size shows the magnitude of absolute trade change.



Bubble size represents absolute trade change. Dark green highlights the lead strategic province, while the upper-right quadrant marks the strongest combined position.

Chart 2.9: Strategic provincial investment map

Province Growth & Decline

Provincial performance shows a clear divergence, with some regions expanding rapidly while others contract. This uneven growth pattern indicates that trade momentum is not uniformly distributed across the country. Leading provinces are capturing the majority of growth, while weaker regions lag behind, highlighting regional imbalances in trade participation and opportunity.

Alberta Leads Provincial Growth at +49.2% (CAD\$0.24 BI) in 2025

8 provinces expanded trade flows while **4 contracted**, signalling diverging regional investment priorities.

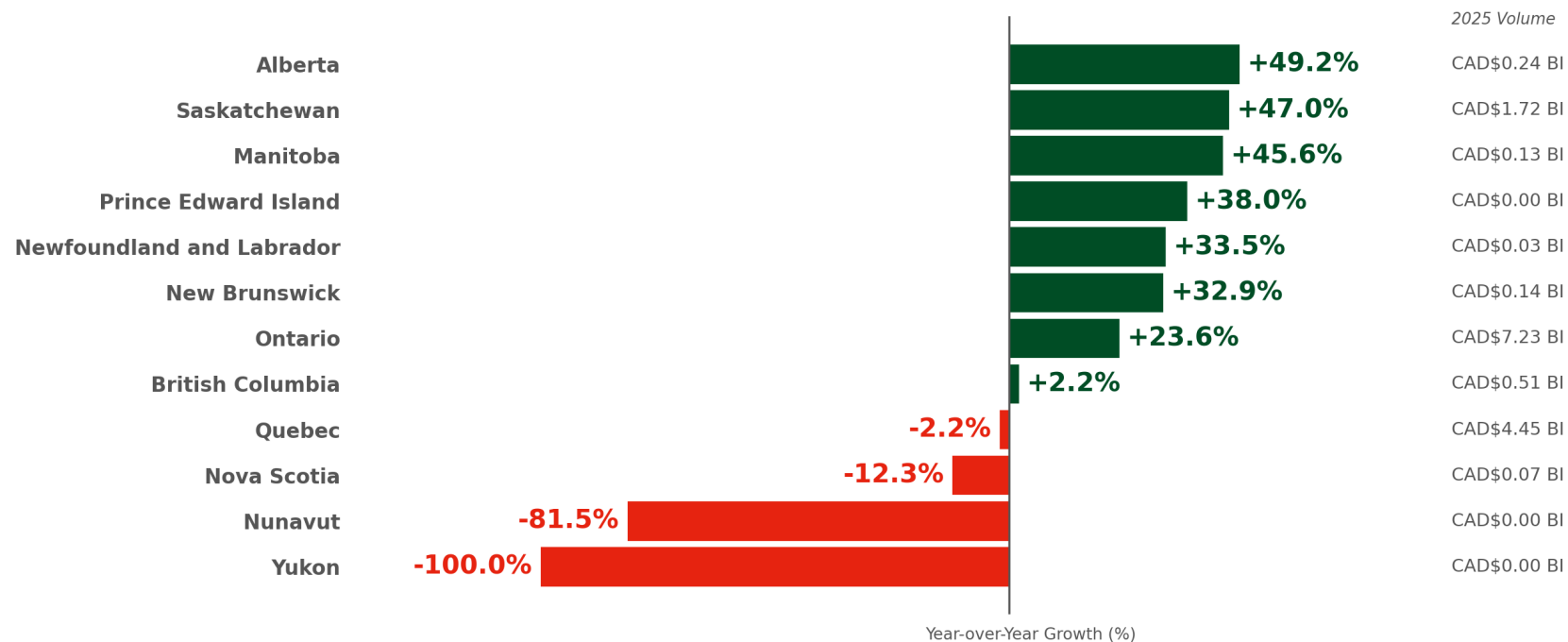


Chart 2.10: Provincial growth and decline by trade value

Ontario Trade Hub Analysis

Ontario remains the dominant province in Canada–Brazil trade, contributing the largest share of total volume. Its performance reflects both scale and consistent participation across key product categories. However, this dominance also reinforces overall trade concentration risk, as national performance becomes heavily dependent on a single region. Ontario continues to be the central driver of bilateral trade activity.

Ontario Remains the Dominant Provincial Trade Engine in 2025

Ontario reached CAD\$7.22B in trade volume, representing **49.9%** of total provincial trade and delivering **+23.4%** year-over-year growth.

Ontario Position in 2025

\$	CAD\$7.22B	→	2025 trade volume
↗	+23.4%	→	Year-over-year growth
Δ	CAD\$+1,371M	→	Absolute trade change
#	#1	→	Volume rank out of 12
#	#7	→	Growth rank out of 12

Ontario Share of Provincial Trade



Ontario accounts for 49.9% of total provincial trade in 2025.

Key Takeaways

- 01 Ontario generated CAD\$7.22B in trade in 2025, representing 49.9% of national provincial trade.
- 02 Ontario's trade grew +23.4% year-over-year, outperforming most other provinces and driving national growth.
- 03 Ontario is the #1 province by trade volume and ranks #7 by growth among 12 provinces.
- 04 Trade concentration in Ontario highlights the importance of diversifying provincial exposure to reduce national concentration risk.

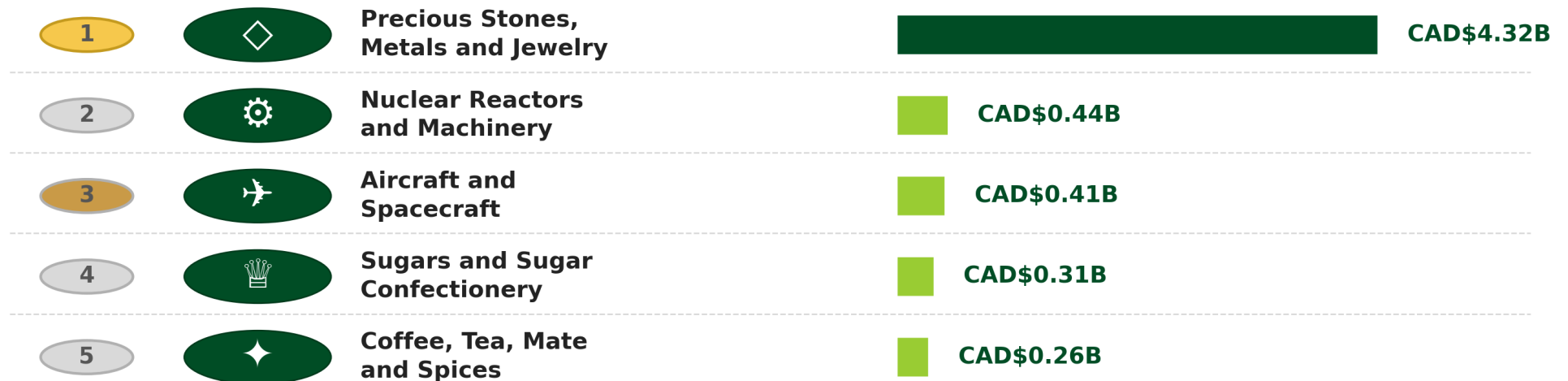
Chart 2.11a: Ontario trade position and key metrics, 2025

Ontario Trade Hub Analysis: Top Product Chapters

Ontario's trade profile is concentrated in a small group of high-value product chapters. The expanded view below improves readability and separates the product mix from the province-level performance summary.

Top 5 Ontario Chapters

Ranked by 2025 trade value



The top chapter represents CAD\$4.32B in 2025 trade value, showing that Ontario's trade profile is concentrated in a small group of categories.

Chart 2.11b: Ontario top 5 product chapters by trade value, 2025

Market Intelligence & Business Opportunities

The market intelligence layer translates the existing HS trade structure into business-oriented opportunities. Using `section_name` as the sector layer and `chapter_name` as the product opportunity layer, the report identifies where trade is growing fastest, where Canadian import demand from Brazil is increasing, and which industries should monitor these opportunities. Based on the current dataset, the fastest-growing sector is Precious Metals and Jewelry (+61.2%), while the strongest product-level momentum is Feathers, Artificial Flowers and Hair (+361.4%).

Business questions addressed

- Which sectors are growing most rapidly?
- Which Canadian sectors are buying more from Brazil?
- Which companies or sectors should be looking at these opportunities?

Method note: the market layer uses **section_name** as the business sector layer and **chapter_name** as the product opportunity layer. This keeps the analysis traceable to the cleaned Statistics Canada dataset while making the findings easier for executives and investors to interpret.

Fastest-Growing Sectors

This chart shows which business sectors are growing fastest, helping entrepreneurs quickly identify where market momentum is strongest.

Fastest-Growing Sectors

Business sectors ranked by year-over-year growth; strongest momentum: **Precious Metals and Jewelry** at +61.2%.

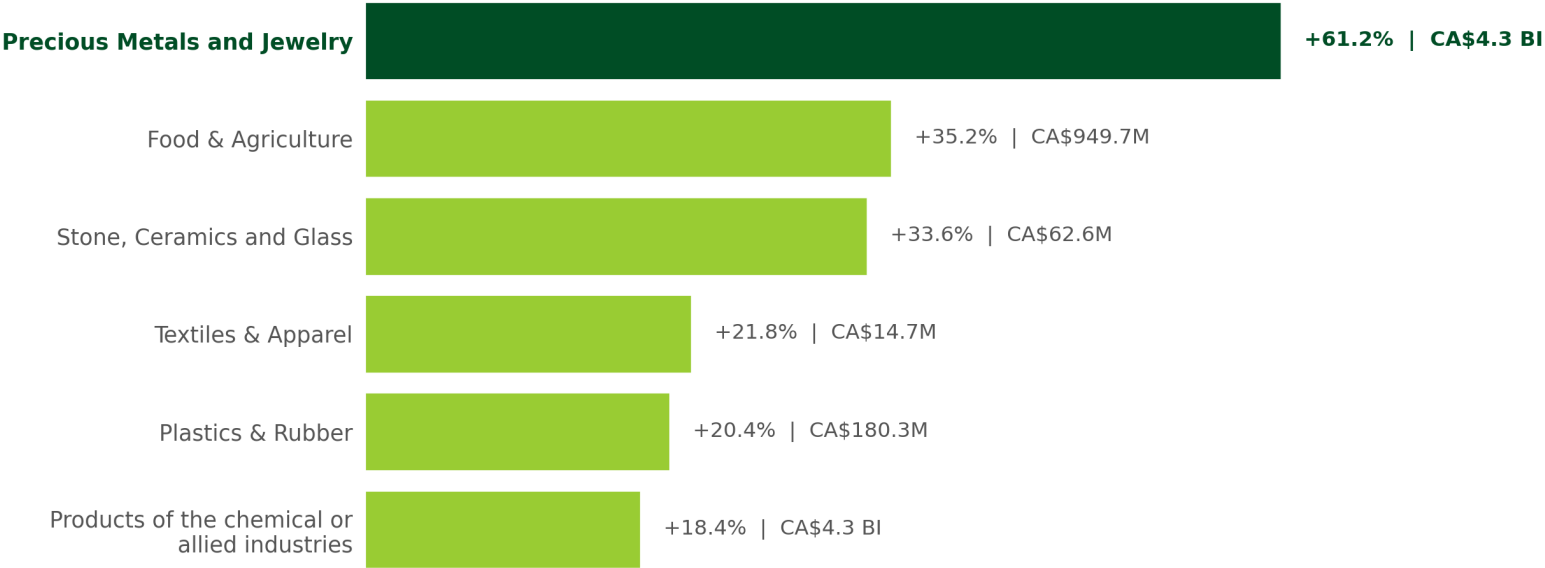


Chart 3.1: Fastest-growing sectors by year-over-year growth

Recent reporting and official trade data point to strong Brazilian exports to Canada in gold, minerals, agricultural products, and industrial goods.

Sources: InfoMoney • Exame • MRE (Gov.br) • MME (Gov.br) • CCBC

Canadian Demand from Brazil

This chart focuses on Canadian imports from Brazil, showing where buyer demand is already active and easier to translate into commercial conversations.

Canadian Demand from Brazil

Import sectors ranked by value; largest demand pool: **Precious Metals and Jewelry** at CAD\$4.32B.

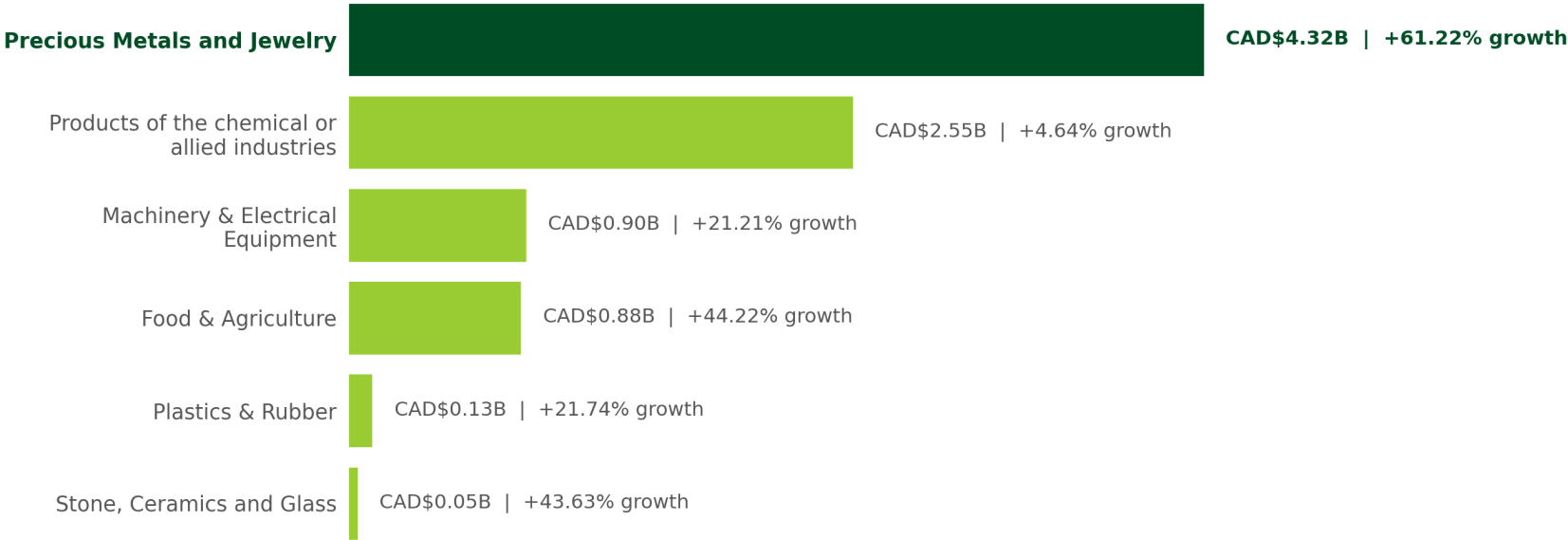


Chart 3.2: Canadian import demand from Brazil by business sector

Executive reading: import-led demand is especially relevant for Brazilian exporters, Canadian distributors, and entrepreneurs looking for proven demand signals.

Sources: Global Affairs Canada • InfoMoney • MDIC (Gov.br) • G1 • R7

Target Industries & Five-Year Outlook

The opportunity matrix separates large markets from fast-growing niches, helping entrepreneurs prioritize where to validate demand, map buyers, and focus outreach over the next five years.

Target Industries & Five-Year Outlook

Opportunity matrix by trade scale and growth; strongest visible momentum: **Precious Metals and Jewelry** at +61.2%.

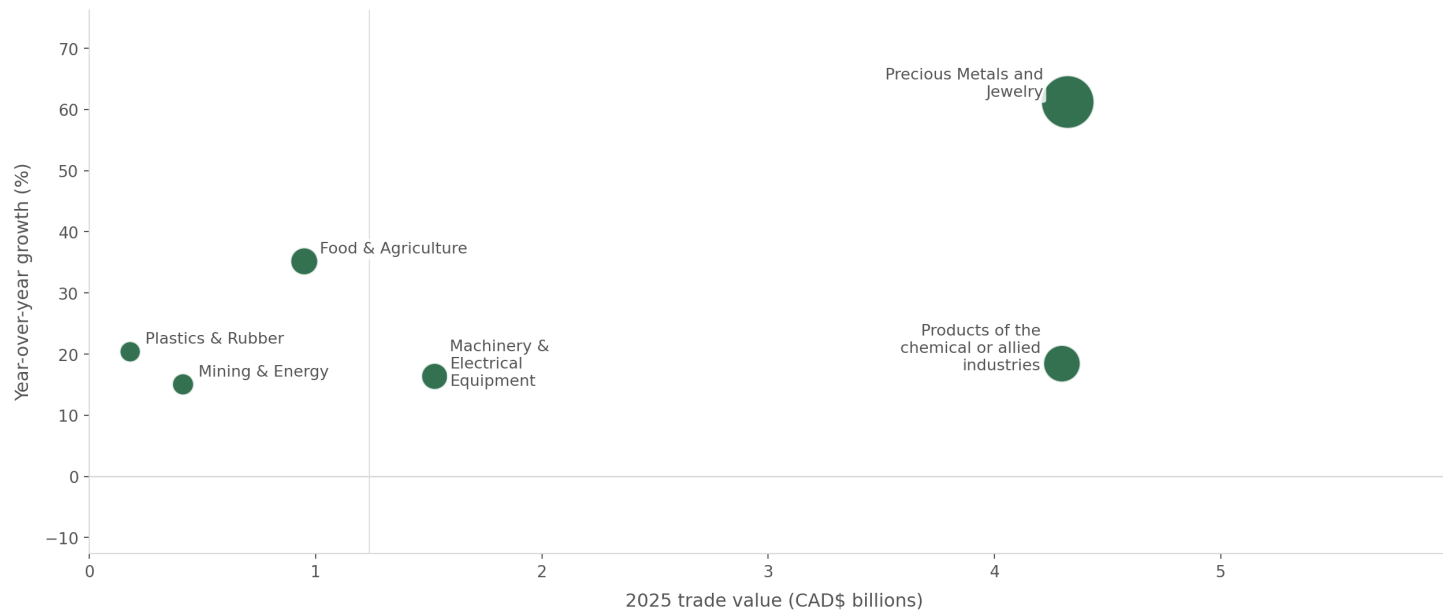


Chart 3.3: Target industry opportunity matrix

Five-year opportunity lens: Priority sectors should move into company mapping, buyer discovery, stakeholder interviews, and external market validation before any investment recommendation is made.

Forecast Validation and Baseline Outlook

Forecast validation suggests that recent trade trends are stable enough to support a continued expansion scenario. Under current conditions, total trade is expected to grow further, driven primarily by sustained import activity. The model does not incorporate structural adjustment scenarios; the projection reflects current trend continuation. The forecast represents a baseline scenario based on observed trade patterns and should not be interpreted as a prediction of future policy, tariff, or macroeconomic changes. The baseline extends observed 2024–2025 trade patterns into 2026; validation method and error metrics are presented in the Appendix.

2026 Baseline Projection Points to CAD\$16.2B Total Trade Volume

Projection supports a **+12.0%** increase versus 2025, peaking near **CAD\$1.58B** in Dec 2026.

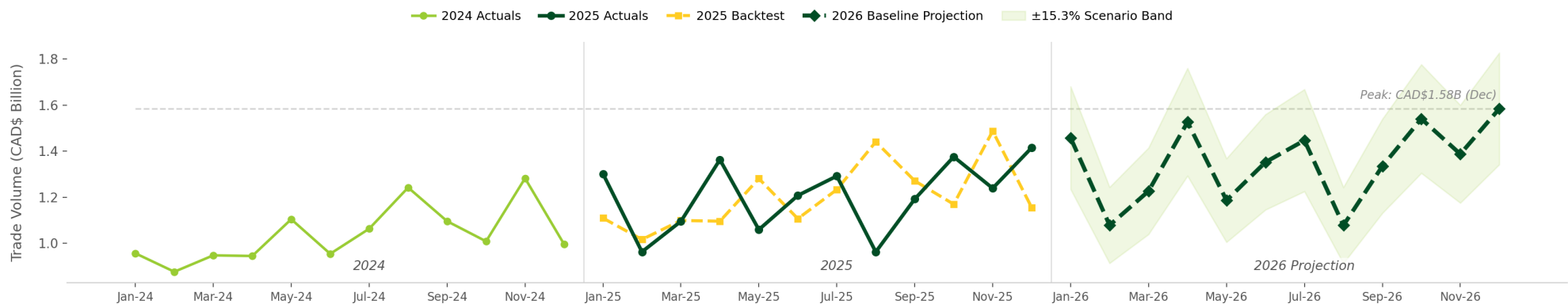


Chart 4.1: 2026 baseline projection: monthly trade volume forecast

2026 Monthly Projection Table

The table below presents the selected monthly baseline forecast with low and high scenario bounds. Technical validation details are included in the appendix so this page remains focused on the planning outlook.

2026 Monthly Projection Table

Baseline scenario: **CA\$16.2 BI** projected total trade, +12.0% vs 2025.

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Baseline (CAD\$B)	1.46	1.08	1.23	1.53	1.19	1.35	1.45	1.08	1.34	1.54	1.39	1.58
Low (−15%)	1.23	0.91	1.04	1.29	1.01	1.15	1.23	0.91	1.13	1.31	1.18	1.34
High (+15%)	1.68	1.24	1.41	1.76	1.37	1.56	1.67	1.24	1.54	1.78	1.60	1.83

Scenario range uses the selected backtested method and applies a ±15.3% planning band. Values are directional and should be used for planning, not as a guarantee.

Chart 4.2: 2026 monthly projection table

Appendix Forecast Validation Method

This appendix provides a simplified validation note for transparency. The main forecast section presents the business outlook and monthly projection table; this page explains how the baseline method was selected without interrupting the executive narrative.

Forecast Method Summary

Method	MAPE	sMAPE	MAE (CAD\$B)	Use
Seasonally Adjusted YoY Baseline	15.3%	14.7%	0.18	Selected baseline
Robust Monthly Growth Baseline	15.6%	14.7%	0.18	Reference check
Flat Seasonal Repeat	18.3%	20.0%	0.23	Reference check

Method Definitions

Metric	Executive meaning
MAE	Average forecast miss in CAD\$ billions. Lower values indicate closer historical fit.
MAPE	Average forecast miss as a percentage of actual trade volume. Lower values indicate stronger fit.
sMAPE	Balanced percentage error measure that treats over- and under-estimation consistently. Lower values indicate stronger fit.

Business interpretation: this is a planning baseline. It extends observed trade patterns and does not include policy changes, tariff shocks, company-level decisions, or macroeconomic scenarios.

Data Source

This report is based on publicly available data from Statistics Canada (Canadian International Merchandise Trade Database), covering monthly import and export activity between Canada and Brazil.

The dataset includes trade flows from January 2024 to December 2025 and supports analysis of trade performance, product trends, and provincial distribution.

Data is sourced from official government records to ensure reliability and consistency.

Reference Source

Statistics Canada. *Canadian International Merchandise Trade Web Application*.

<https://www150.statcan.gc.ca/n1/pub/71-607-x/71-607-x2021004-eng.htm>

Accessed: 2026-04-28

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All insights and projections are derived from historical trends and should be interpreted as directional analysis rather than precise forecasts.

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